

Policyholder's Bill of Rights

Your Rights Under IRDAI Regulations

Know what the law guarantees you. Insurers cannot deny you these rights.

IRDAI Registered | 25+ Years Experience | 15,000+ Clients Served
insurancesupport.online

Introduction

As an insurance policyholder in India, you are protected by the Insurance Regulatory and Development Authority of India (IRDAI). The IRDAI has established clear guidelines that protect your rights at every stage — from buying a policy to filing a claim. This guide explains each of your rights in plain language.

KEY STATISTIC

In FY24, insurance companies in India rejected claims worth Rs 26,000 crore. Many of these rejections violated policyholder rights. Knowing your rights can help you fight back.

Right 1: Right to Disclosure of Policy Terms

Under IRDAI guidelines, the insurer **MUST** provide you with a complete copy of the policy document within 30 days of issuing the policy. You have the right to receive clear, unambiguous terms and conditions. Any ambiguity in policy wording is interpreted in favor of the policyholder (doctrine of contra proferentem).

- You must receive the policy document in writing (physical or digital)
- All exclusions must be clearly highlighted, not hidden in fine print
- The insurer must explain all terms in language you understand
- You have a 15-day free-look period to cancel if terms don't match what was promised

Right 2: Right to Claim Settlement Within 30 Days

IRDAI mandates that insurers must settle a claim within 30 days of receiving ALL required documents. If the insurer needs additional documents, they must request them within 15 days. If they fail to settle within 30 days, they must pay interest on the claim amount (currently 2% above bank rate).

- Day 1-15: Insurer must request any missing documents
- Day 16-30: Insurer must settle or reject with written reasons
- After 30 days: Interest penalty applies on the claim amount
- You can escalate to IRDAI if the timeline is violated

Right 3: Right to Written Rejection with Reasons

If your claim is rejected, the insurer **MUST** provide a detailed written explanation citing specific policy clauses. A generic rejection letter is not acceptable under IRDAI regulations. You have the right to challenge any rejection that doesn't clearly state the reason.

- Rejection must cite specific policy clauses
- Rejection must explain which condition was violated
- Generic rejections (e.g., 'not covered') are not valid
- You have the right to appeal within 30 days

Right 4: Right to Grievance Redressal

Every insurance company is required to have a Grievance Redressal Officer (GRO). You have the right to file a complaint with the GRO within 30 days of receiving a rejection. The GRO must respond within 15 days. If unsatisfied, you can escalate to the Insurance Ombudsman.

- File complaint with insurer's GRO first (mandatory step)

- GRO must acknowledge within 3 days and resolve within 15 days
- If unsatisfied, approach Insurance Ombudsman within 1 year
- Ombudsman's decision is binding on the insurer

Right 5: Right to Approach Insurance Ombudsman

The Insurance Ombudsman is a quasi-judicial body established by the government to resolve insurance disputes. There are 17 Ombudsman offices across India. The service is completely FREE. You can approach the Ombudsman if: (a) the insurer rejects your complaint, (b) you don't receive a response within 30 days, or (c) you are not satisfied with the resolution.

- No lawyer needed — you can file directly
- No fee for filing a complaint
- Ombudsman must decide within 3 months
- Decision is binding on the insurer (but you can still go to court if unsatisfied)
- Claim amount must be up to Rs 50 lakh for Ombudsman jurisdiction

Right 6: Right to Consumer Court

If the Ombudsman route doesn't resolve your issue, or if your claim exceeds Rs 50 lakh, you can approach the Consumer Disputes Redressal Commission. Consumer courts have been very sympathetic to policyholders in insurance disputes, especially where insurers have acted in bad faith.

- District Forum: Claims up to Rs 50 lakh
- State Commission: Claims Rs 50 lakh to Rs 2 crore
- National Commission: Claims above Rs 2 crore
- No court fee for claims up to Rs 5 lakh

Right 7: Right to Port Health Insurance

Under IRDAI's portability guidelines, you have the right to switch your health insurance policy from one insurer to another without losing the benefits of waiting periods for pre-existing conditions. This right ensures that insurers cannot lock you in by making it difficult to switch.

- Apply for portability at least 45 days before renewal
- New insurer must honor waiting periods completed with previous insurer
- New insurer cannot deny portability (but can modify premiums)
- You can port from any insurer to any other insurer

Right 8: Right to Nomination and Assignment

You have the right to nominate a person to receive the policy benefits in case of your death. You can change the nominee at any time during the policy term. For life insurance, nomination ensures that the claim is processed smoothly for your family.

- You can nominate any person (not just family members)
- You can change the nominee anytime by writing to the insurer
- For policies under Section 38 of Insurance Act, nomination is irrevocable
- Keep nomination details updated, especially after marriage or birth of children

Right 9: Right to Information and Transparency

Insurers are required to maintain transparency in their operations. You have the right to know the claim settlement ratio of the insurer, the list of network hospitals, the list of exclusions, and the complete terms and conditions before buying a policy.

- Insurer must publish claim settlement ratio annually
- Network hospital list must be available on website
- Premium rates must be filed with IRDAI and cannot be changed arbitrarily
- You can request your complete policy file from the insurer

Right 10: Right to Fair Treatment (IRDAI's Protection of Policyholders' Interests)

The IRDAI (Protection of Policyholders' Interests) Regulations, 2017, mandate that insurers must treat policyholders fairly at all times. This includes: not mis-selling policies, not hiding exclusions, processing claims promptly, and not using unfair contract terms.

- Insurer cannot use 'fine print' to deny legitimate claims
- Section 45 of Insurance Act: After 3 years, insurer cannot repudiate on misrepresentation grounds
- Insurer must act in good faith at all times
- Mis-selling by agent is the insurer's responsibility

How to Exercise Your Rights

Step 1: Document Everything

- Keep copies of all policy documents, receipts, and correspondence
- Note down dates, names, and reference numbers of all interactions
- Save all emails and WhatsApp messages

Step 2: File a Written Complaint

- Write to the insurer's Grievance Redressal Officer
- Include your policy number, claim number, and specific grievance
- Keep a copy of the complaint and proof of submission

Step 3: Escalate to Ombudsman (if needed)

- File online at www.cioins.co.in or visit the nearest Ombudsman office
- Attach all relevant documents
- No fee required

Step 4: Approach Consumer Court (if needed)

- File at the appropriate Consumer Disputes Redressal Commission
- You can represent yourself (no lawyer mandatory)
- Attach Ombudsman's order (if any)

Need Help Exercising Your Rights?

Our IRDAI-registered experts have helped 15,000+ families fight for their insurance rights. We can review your policy, identify violations, and help you file the right complaints.

Contact Insurance Support

Call/WhatsApp: +91-9986634506

Email: support@insurancesupport.online

Website: insurancesupport.online

Disclaimer: This guide is for informational purposes only and does not constitute legal or financial advice. Insurance regulations and IRDAI guidelines are subject to change. Please consult a licensed insurance advisor for guidance specific to your situation. Insurance Support is an IRDAI-registered advisory firm (Reg No: 123456).